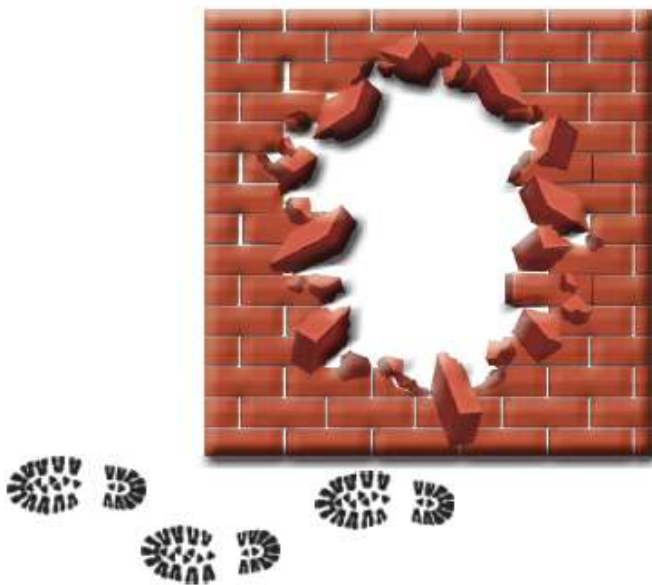


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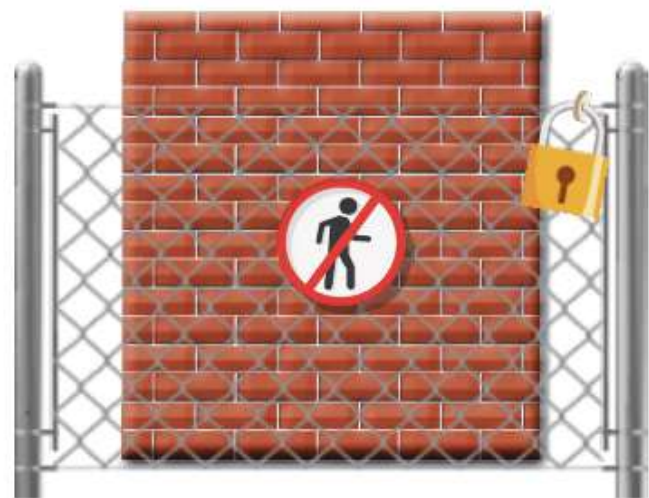
COUNTERPARTY DEFAULT RISK

In a **forward contract**, there is a significant counterparty default risk involved even though the parties know each other.

Talking of the mark to market nature of **futures**, these contracts have no default risk.



The contract is legally binding but the legal proceedings themselves are all the more time consuming and expensive to proceed with.



The buyer and the seller have the exchange as their counterparty. This removes the counter-party risk which was there with Forward contracts.